

Business Performance Analysis Report

Data Analytics & Business Intelligence – Task 2

1. KPI Overview

The analysis recorded total sales of 2,296,919.49 and total profit of 286,409.08, resulting in an overall profit margin of 12.47%. The dataset contains 5,009 unique orders and 793 customers. The average order value is approximately 458.56.

2. Regional Performance

The West region generated the highest sales revenue of 725,457.82, followed by the East region with 678,499.87. Central generated 501,239.89, while South recorded the lowest regional sales of 391,721.91. Therefore, West is the strongest revenue-generating region.

3. Category Performance

Technology achieved the highest profit margin at 17.40%, closely followed by Office Supplies at 17.04%. Furniture recorded a much lower profit margin of 2.49%, indicating weaker profitability compared with the other categories. The business should prioritise high-margin Technology and Office Supplies products while reviewing pricing, discounting, and cost structure within Furniture.

4. Customer Segment Analysis

The Consumer segment was the most valuable segment, generating total sales of 1,161,401.34 and total profit of 134,119.21. Corporate ranked second with sales of 706,146.37 and profit of 91,979.13, while Home Office generated sales of 429,371.78 and profit of 60,310.74. Therefore, Consumer customers contribute the largest share of both revenue and profit.

5. Discount Impact Analysis

Profitability declined sharply as discount levels increased. Orders with no discount achieved a profit margin of 29.51%, while low-discount orders achieved 16.61% and medium-discount orders 11.58%. High-discount orders produced a negative profit margin of -37.34%, indicating that aggressive discounting is significantly reducing profitability and creating losses.

6. Seasonal Sales Trend

The monthly sales analysis shows a clear year-end seasonal pattern. Many of the highest-sales months occurred between September and December. November and December repeatedly appeared among the strongest months across multiple years. This suggests that the business should prepare inventory, marketing campaigns, and operational capacity in advance of the year-end demand peak.

7. Key Customer Findings

Sean Miller was the highest-revenue customer with total revenue of 25,043.05, followed by Tamara Chand with 19,052.22 and Raymond Buch with 15,117.34. These high-value customers should be considered for retention programmes, personalised offers, and relationship management initiatives.

8. Recommendations for Business Growth

Based on the analysis, the business should prioritise Technology and Office Supplies due to their strong profit margins, while reviewing the low profitability of Furniture. High discount levels should be reduced or tightly controlled because they are associated with significant losses. The company should focus customer-retention efforts on high-value customers and the Consumer segment, strengthen its presence in the West and East regions, and prepare inventory and marketing activities before the September–December seasonal peak.

9. Conclusion

Overall, the business generated strong sales and positive profitability, but performance varied significantly across regions, categories, customer segments, and discount levels. The strongest opportunities for growth are improving discount discipline, focusing on profitable categories, retaining valuable customers, and using seasonal demand patterns to support better planning.